

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-10

TZ SSE Buyer, LLC, Complainant v. Yang Ming Marine Transport Corp., Respondent

**COMPLAINANT TZ SSE BUYER, LLC'S
OPENING BRIEF**

TABLE OF CONTENTS

I.	Introduction.....	1
II.	Proposed Findings of Fact.	2
III.	Legal Standard.	2
	A. Jurisdiction.....	2
	B. Burden of Proof.....	4
IV.	Argument.	6
	A. Respondent’s practices were unreasonable under 46 U.S.C. § 41102(c).	6
	i. FMC has jurisdiction over Respondent.	7
	ii. Respondent’s acts or omissions occurred on a normal, customary, and continuous basis.....	7
	iii. The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property.	8
	iv. Respondent’s practices and regulations are unjust or unreasonable.	9
	1. Respondent’s charges failed to incentivize cargo movement.....	11
	2. Respondent’s demurrage and detention policies lacked transparency, accessibility, and effective dispute resolution.	13
	3. Respondent’s billing practices were inadequate.	14
	4. Yard storage charges remain the responsibility of Respondent and do not relieve Respondent of its common carrier obligations.	15
	v. Respondent failed to comply with Ocean Shipping Reform Act of 2022 (“OSRA”).....	16
	vi. Respondent’s practice or regulation is the proximate cause of the loss.	17
	B. Respondent’s refusal to deal was unreasonable under 46 U.S.C. 41104 (a)(10).	20

i.	Respondent is a common carrier.....	20
ii.	Respondent refused to deal or negotiate.	20
iii.	Respondent's refusal was unreasonable.....	22
V.	Conclusion	24

TABLE OF AUTHORITIES

	Page(s)
Cases	
<i>3M v. Hapag Lloyd</i> , 20 S.R.R. 1020 (FMC 1981).....	3
<i>A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc. et.al.</i> , Docket No. 1987(I), (ALJ July 17, 2023).....	18
<i>Adenariwo v. BDP Int'l</i> , 2012 FMC Lexis 42 (SO 2012)	3
<i>Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.</i> , Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808 (FMC May 10, 2006).....	2, 7
<i>Cal. Cartage v. Pac. Mar. Ass'n</i> , 23 S.R.R. 420 (FMC 1985).....	3
<i>Canaveral Port Authority - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate</i> , Docket No. 02-02, 29 S.R.R. 1436, 2003 WL 723336 (FMC Feb. 24, 2003).....	21
<i>Cargo One, Inc. v. COSCO Container Lines Co.</i> , Docket No. 99-24, 28 S.R.R. 1635, 2000 WL 1648961 (FMC Oct. 31, 2000)	2, 7
<i>Carton-Print v. Austasia Container Express</i> , 17 S.R.R. 571 (ALJ 1977)	3
<i>Crocus Investments, LLC v. Marine Transport Logistics, Inc.</i> , Docket No. 15-04, 2021 WL 3732849 (FMC Aug. 18, 2021).....	4
<i>Distrib. Servs. Ltd. v. Trans-Pac. Freight Conference of Japan & its Member Lines</i> , FMC Dkt. No. 86-12, 1988 WL 340659 (FMC Jan. 6, 1988)	9
<i>Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-possible Violations of 46 U.S.C. § 41102(c)</i> , 2022 WL 1239377 (ALJ, April 22, 2022)	18
<i>Intercoastal Investigation</i> , 1935, 1 U.S.S.B.B. 400 (1935)	8
<i>Investigation of Free Time Practices-Port of San Diego</i> , 9 F.M.C. 525 (FMC 1966)	9

<i>Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.</i> , FMC Docket No. 08-03, 2014 WL 9966245 (FMC Dec. 17, 2014).....	4
<i>New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans</i> , Docket No. 00-11, 29 S.R.R. 1066, 2002 WL 33836158 (FMC June 28, 2002).....	20
<i>New Orleans Stevedoring Co. v. FMC</i> , 80 Fed. Appx. 681 (D.C. Cir. 2003)	20
<i>OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.</i> , FMC Dkt. No. 21-11, 2023 WL 3969857 (ALJ June 7, 2023)	2, 3, 4, 6, 20, 22, 23
<i>Ports Am. Chesapeake, LLC v. APS East Coast</i> , FMC Dkt. No. 23-04, 2023 WL 5375588 (ALJ Aug. 16, 2023)	6
<i>Rohm & Haas Co. v. Italian Line</i> , 21 S.R.R. 212 (FMC 1981).....	3
<i>Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.</i> , 29 S.R.R. 119, 2001 WL 865708 (FMC 2001).....	17
<i>Stockton Elevators</i> , 3 S.R.R. 605 (FMC 1964).....	7
<i>TCW, Inc. v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement</i> , FMC Dkt. No. 1966(I), Doc. No. 1, 1, 22–25 (ALJ Feb. 29, 2021)	9
<i>Trane Co. v. South African Marine</i> , 19 F.M.C. 375 (ALJ 1976).....	3
<i>TZ SSE Buyer, LLC v. COSCO Shipping Lines, Co., Ltd.</i> , Docket No. 24-09, Doc. 13 (ALJ, May 24, 2024)	4
<i>TZ SSE Buyer, LLC v. OOCL, et al.</i> , Docket No. 24-08, Doc. 14 (ALJ, June 3, 2024)	4
<i>In Re: Vehicle Carrier Services</i> , Docket Nos. 16-01, 16-07, and 16-11, 2019 WL 5558120 (FMC 2019)	3
<i>Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. - Possible Violations of 46 U.S.C. § 41102(c)</i> , FMC Dkt. No. 21-16, 2022 WL 17830693 (FMC Dec. 15, 2022)	17

<i>Waterman Steamship Corp. v. General Foundries, Inc.</i> , Docket No. 93-15, 26 S.R.R. 1173 (ALJ Dec. 9, 1993)	4, 6
<i>Way Interglobal Network, LLC v. Shenzhen Uniflex SCM Ltd.</i> , FMC Docket No. 22-28, 2023 WL 130654 (FMC Jan. 4, 2023).....	17
<i>William R. Adair v. Penn-Nordic Lines, Inc.</i> , Docket No. 1695(F), 26 S.R.R. 11, 1991 WL 383091 (ALJ Sept.24, 1991).....	17

Statutes

5 U.S.C. § 556(d)	4
46 U.S.C. § 40102(7)	3, 7, 20
46 U.S.C. § 40102 (18)	3, 7, 20
46 U.S.C. § 41102(c)	1, 2, 3, 6, 7, 8, 9, 11, 16, 17, 24
46 U.S.C. § 41104(a)(10).....	1, 2, 3, 20, 22, 23, 24
46 U.S.C. § 41104(a)(15).....	16
46 U.S.C. § 41104(d)(2)	16
46 U.S.C. § 41104(d)(2)(L)	16
46 U.S.C. § 41301	2
46 U.S.C. § 41301(a)	2, 3, 7
46 U.S.C. § 41305.....	24
46 U.S.C. § 41305(a)	24
46 U.S.C. § 41305(b)	3, 17
46 U.S.C. § 41305(e)	24
46 U.S.C. § 41310.....	16
46 U.S.C. § 41310(b)(2)	16
Ocean Shipping Reform Act § 7	16
Ocean Shipping Reform Act § 10.....	16
Public Law 98-237, Shipping Act of 1984 “Shipping Act”	1, 2, 3, 4, 6, 7, 15, 20, 21, 22, 23, 24

Public Law 117-146, Ocean Shipping Reform Act of 2022 (“OSRA”)	16
--	----

Other Authorities

46 C.F.R. 545.4(b)	7
46 C.F.R. § 502.203	4
46 C.F.R. § 545.4	6
46 C.F.R. § 545.5	1, 9, 11, 12, 13
46 CFR Part 502	26
46 CFR § 502.141(e)(1)	6
<i>Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act</i> , 85 Fed. Reg. 29638 (May 18, 2020)	8, 9, 10, 11, 13, 14
<i>Final Rule, Interpretive Rule, Shipping Act of 1984</i> , 83 Fed. Reg. 64478 (Dec. 17, 2018)	7

I. Introduction

This case centers on Respondent Yang Ming Marine Transport Corporation's ("Respondent") failure to adhere to its obligations under the Shipping Act of 1984 during a time of unprecedented global supply chain disruption. At the height of the COVID-19 pandemic, systemic barriers such as severe port congestion, chassis shortages, and rail yard delays made container retrieval impossible for shippers like Impact Products, LLC ("Impact Products") and Safety Zone, LLC ("Safety Zone"), as well as their logistics intermediary, Laufer Group International ("Laufer"), a Non-Vessel Operating Common Carrier ("NVOCC"). Despite these extraordinary circumstances, Respondent continued to impose exorbitant demurrage, detention, per diem, and yard storage charges. In doing so, Respondent disregarded the Federal Maritime Commission's ("FMC" or "Commission") guidance that such charges should incentivize cargo movement and not penalize shippers for delays beyond their control, thereby violating the FMC's Interpretive Rule on Demurrage and Detention under the Shipping Act, 46 CFR Part 545.5, and 46 U.S.C. § 41102(c).

In addition to these unreasonable practices, Respondent compounded the harm by refusing to engage in meaningful negotiations with Impact Products and Safety Zone and their logistics intermediary, Laufer, regarding these charges. Respondent's refusal to address legitimate transportation-related concerns, as required under 46 U.S.C. § 41104(a)(10), further underscores its failure to meet the fairness and reasonableness standards mandated by the Shipping Act. These practices resulted in \$1,304,526.00 in demurrage, detention, per diem and yard storage charges (the "Charges") and inflicted severe financial and operational harm on Impact Products and Safety Zone, ultimately contributing to their bankruptcy.

Complainant TZ SSE Buyer, LLC ("TZ SSE Buyer" or "Complainant") now brings this action as the successor-in-interest to Impact Products and Safety Zone, seeking reparations under

the Shipping Act for Respondent's violations of 46 U.S.C. §§ 41102(c) and 41104(a)(10). As demonstrated below, Respondent's practices were not only unjust and unreasonable but also directly caused the harm suffered by Complainant. The FMC's intervention is necessary to ensure accountability and prevent such conduct in the future.

II. Proposed Findings of Fact.

TZ SSE Buyer incorporates and relies upon its Proposed Findings of Fact ("CPFF") submitted contemporaneously herewith. These findings, derived from extensive discovery, establish the factual foundation for each element of TZ SSE Buyer's claims and are referenced throughout this brief.

III. Legal Standard.

A. Jurisdiction.

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a); *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, FMC Dkt. No. 21-11, 2023 WL 3969857, at *20 (ALJ June 7, 2023). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See OJ Commerce*, 2023 WL 3969857 at *20; *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *11 (FMC May 10, 2006); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000).

Here, the Federal Maritime Commission ("FMC" or "Commission") has jurisdiction because Complainant TZ SSE Buyer filed its Verified Amended Complaint under 46 U.S.C. § 41301, alleging violations of 46 U.S.C. §§ 41102(c) and 41104(a)(10). (*See CPFF*, ¶¶ 1–6.) These allegations fall squarely within the FMC's statutory mandate to adjudicate complaints

involving unreasonable practices and refusals to deal by common carriers, as defined under the Shipping Act.

Furthermore, the Shipping Act defines and regulates various entities involved in the international shipment of goods by water, including common carriers and vessel operating ocean common carriers (46 U.S.C. § 40102(7), (18)), which are subject to the provisions of 46 U.S.C. §§ 41102(c) and 41104(a)(10)—both of which are central to this proceeding. *See OJ Commerce*, 2023 WL 3969857 at 21. Here, Respondent’s corporate representative confirmed that Respondent is an ocean carrier regulated by the FMC. (*See CPFF ¶¶ 13–16.*) This confirmation further establishes that the FMC has jurisdiction over Respondent as a common carrier under the Shipping Act.

Finally, the Shipping Act provides for reparations “for actual injury caused by a violation.” 46 U.S.C. § 41305(b); *See OJ Commerce*, 2023 WL 3969857 at *21. The Commission has interpreted section 41301(a) as requiring complainants to establish that they have “paid the freight or succeeded to the claim in a valid fashion such as by assignment.” *See, e.g., In Re: Vehicle Carrier Services*, Docket Nos. 16-01, 16-07, and 16-11, 2019 WL 5558120, at *6 (FMC 2019); *Rohm & Haas Co. v. Italian Line*, 21 S.R.R. 212, 215-216 (FMC 1981) (allowing a parent company to seek reparations, as long as it obtained an assignment from its foreign subsidiary); *Cal. Cartage v. Pac. Mar. Ass’n*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 F.M.C. 375, 378 n.9 (ALJ 1976); *Carton-Print v. Austasia Container Express*, 17 S.R.R. 571, 581 (ALJ 1977); *3M v. Hapag Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); *Adenariwo v. BDP Int’l*, 2012 FMC Lexis 42 at *12-14 (SO 2012).

As detailed in the CPFF, the former complainants, Impact Products and Safety Zone, obtained a valid assignment of the claims alleged against Respondent from Laufer. (*See CPFF ¶¶ 22–31.*) Laufer invoiced the former complainants for the Charges assessed by Respondent, which

the former complainants subsequently paid to Laufer. (*See id.* ¶¶ 29–30.) Laufer, in turn, remitted these payments to Respondent. (*Id.*) The validity of this assignment has been affirmed by the Administrative Law Judge (“ALJ”) in *TZ SSE Buyer, LLC v. OOCL, et al.*, Docket No. 24-08, Doc. 14 (ALJ, June 3, 2024), and *TZ SSE Buyer, LLC v. COSCO Shipping Lines, Co., Ltd.*, Docket No. 24-09, Doc. 13 (ALJ, May 24, 2024).

In addition, the current Complainant, TZ SSE Buyer, LLC, acquired all assets of the former complainants, including all rights and causes of action, through a Chapter 11 bankruptcy sale. (*See* CPFF ¶¶ 8, 11–12.) This purchase included any claims the former complainants held against Respondent, which necessarily encompassed the assignment of claims from Laufer. (*See id.*)

B. Burden of Proof.

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *OJ Commerce*, 2023 WL 3969857 at *20; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under this standard, a complainant must show that their allegations are more probable than not. *OJ Commerce*, 2023 WL 3969857 at *20; *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021). The Commission has further found that it is appropriate to draw inferences from certain facts when direct evidence is unavailable, and circumstantial evidence alone may even be sufficient. *See OJ Commerce*, 2023 WL 3969857 at *20; *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

Here, Respondent failed to provide critical communications central to this case, merely asserting that such records do not exist without explaining what steps, if any, were taken to search

for communications between Respondent, Laufer, Impact Products, Safety Zone, and the drayage companies used by Laufer regarding the Charges. (*See* CPFF ¶¶ 52–59.) Complainant supplied Respondent with a detailed spreadsheet containing all container numbers, bills of lading numbers, and charges, categorized by type—demurrage, detention, per diem, or yard storage—providing Respondent with sufficient information to locate the requested records. Despite this, and repeated requests from Complainant’s counsel, Respondent offered no substantive response beyond a blanket assertion that these communications did not exist. (*See id.* ¶¶ 52–53, 56–57.) Yet, as evidenced by the communications Complainant produced during discovery, it is clear that such communications between Respondent, Laufer, Impact Products, Safety Zone, and the drayage companies used by Laufer did in fact exist, further undermining Respondent’s credibility and its claims regarding these records. (*See id.* ¶¶ 42–45.)

Additionally, Respondent failed to produce any master bills of lading related to the Charges, despite Complainant providing a detailed list of all relevant master bill of lading numbers. (*See id.* ¶¶ 52, 54–56, 58.) Instead, Respondent produced only non-negotiable seaway bills, which do not qualify as bills of lading because they omit essential terms and conditions of the transportation agreement. (*See id.* ¶ 55.) This deficiency was corroborated by Respondent’s corporate representative during her deposition, further highlighting Respondent’s failure to fulfill its discovery obligations. (*See id.*)

Despite multiple requests, Respondent offered no justifiable explanation for these omissions. (*See id.* ¶¶ 56–59.) Acting in good faith, Complainant refrained from filing a motion to compel, relying on Respondent’s repeated assurances that it would address its deficiencies. However, each time Respondent attempted to resolve these issues, it produced irrelevant

communications unrelated to the containers, bills of lading, or Charges at issue in this proceeding, or submitted other extraneous documents that had no bearing on this case.

Given Respondent's failure to produce critical records, the Commission should consider this conduct as a failure to comply with the evidentiary expectations of the Shipping Act under 46 CFR § 502.141(e)(1) and draw inferences from the substantial circumstantial evidence provided by Complainant. The Commission has consistently recognized that when direct evidence is unavailable, circumstantial evidence may suffice to meet the burden of proof. *See OJ Commerce*, 2023 WL 3969857, at *20; *Waterman Steamship Corp.*, 26 S.R.R. at 1180.

IV. Argument.

A. Respondent's practices were unreasonable under 46 U.S.C. § 41102(c).

Under 46 U.S.C. § 41102(c), common carriers are required to establish, observe, and enforce just and reasonable regulations and practices regarding the handling, storage, and delivery of property. The Commission has interpreted Section 41102(c) as requiring the following elements:

- (i) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (ii) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (iii) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (iv) The practice or regulation is unjust or unreasonable; and
- (v) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS East Coast*, FMC Dkt. No. 23-04, 2023 WL 5375588, at *9 (ALJ Aug. 16, 2023). As shown below, Respondent easily meets each of the required elements.

i. FMC has jurisdiction over Respondent.

As discussed in Section III.A, *supra*, the Commission has jurisdiction over Respondent as a “common carrier” and a vessel-operating “ocean common carrier” as defined in 46 U.S.C. § 40102(7) and (18), a status that Respondent admits. (*See* CPFF, ¶¶ 13–16.) Respondent conducts its U.S. business operations through Yang Ming (America) Corp. and holds itself out to the general public to provide transportation by water of cargo between the United States and foreign countries for compensation, utilizing vessels for all or part of the transportation. (*See id.*) For the cargo at issue, Respondent provided both ocean and inland transportation services. (*See id.* ¶ 18.)

The FMC also has jurisdiction over TZ SSE Buyer's claims against Respondent. The Shipping Act permits any "person" to file a sworn complaint with the Commission alleging a violation of the Act. *See* 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over complaints alleging that a respondent has committed acts prohibited by the Shipping Act—allegations that TZ SSE Buyer has raised in this proceeding. (*See id.* ¶¶ 1–7, 8, 11–12.) *See Anchor Shipping Co. v. Alianca Navegacao E Logistica Ltda.*, FMC Dkt. No. 02-04, 2006 WL 2007808, at *8–9 (FMC May 10, 2006); *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, FMC Dkt. No. 99-24, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000).

ii. Respondent's acts or omissions occurred on a normal, customary, and continuous basis.

For there to be a violation of Section 41102(c), the unreasonable practice or regulation "must be normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business." 46 C.F.R. 545.4(b); *see also Final Rule, Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 64478 (Dec. 17, 2018) (discussing the Interpretive Rule provision promulgated at 46 C.F.R. 545.4(b)); *see e.g., Stockton*

Elevators, 3 S.R.R. 605, 618 (FMC 1964); *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 432 (1935).

In this proceeding, Respondent’s practices concerning demurrage, detention, per diem, and other accessorial charges clearly meet this standard. During her deposition, Ms. Osana Anki (“Ms. Anki”), Respondent’s corporate representative and Assistant Vice President of Imports for Yang Ming (America) Corp., testified that Respondent deals with these Charges daily as a regular part of its business operations. (See CPFF, ¶¶ 21.) She further confirmed that Respondent is consistently engaged in issues related to demurrage when handling imports. (See *id.*) Moreover, the harm alleged in this case does not pertain to a single, isolated incident but rather involves a significant number of shipments over extended periods. (See CPFF, ¶ 29.) Ms. Anki’s testimony, combined with the scope and duration of the alleged harm, demonstrates that Respondent’s acts or omissions regarding demurrage and related charges were not incidental or isolated but instead systematic and customary, integral to its ongoing business practices.

iii. The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property.

The Commission has expressly stated that “[o]cean carrier demurrage and detention practices are subject to Section 41102(c) and Commission oversight, regardless of whether the practices relate to conduct at ports or inland.” See *Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29650. Here, the disputed practices, policies, and procedures—specifically, Respondent’s demurrage, detention per diem and yard storage practices and its assessment of the Charges—are directly connected to the movement of cargo in ocean shipping. The Charges at issue stem directly from Respondent’s handling, transportation, and storage of cargo belonging to Impact Products and Safety Zone. (CPFF, ¶¶ 9, 18–21, 23–31.) These charges were imposed as part of Respondent’s provision of ocean transportation services and

directly relate to its obligations in managing Impact Products' and Safety Zone cargo from receipt to delivery. (*See id.*) Therefore, Respondent's practices fall squarely within the scope of Section 41102(c) and are subject to the Commission's jurisdiction and reasonableness analysis.

iv. Respondent's practices and regulations are unjust or unreasonable.

The Federal Maritime Commission (FMC), under 46 C.F.R. § 545.5 and 46 U.S.C. § 41102(c), is authorized to evaluate the reasonableness of demurrage and detention charges assessed by ocean common carriers. These charges include fees, including but not limited to per diem charges, related to the use of marine terminal space (e.g., land) or shipping containers. 46 C.F.R. § 545.5.

When determining reasonableness of a carrier practice the analysis does not turn on the lawfulness of the practice but instead on whether the practice is "tailored to meet its intended purpose," *Distrib. Servs. Ltd. v. Trans-Pac. Freight Conference of Japan & its Member Lines*, FMC Dkt. No. 86-12, 1988 WL 340659, at *7 (FMC Jan. 6, 1988), and "fit and appropriate to the end in view." *Investigation of Free Time Practices-Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966). Even if a practice has a valid purpose, if it goes beyond what is necessary to achieve that purpose, it may still be unreasonable. *Distrib. Servs.*, 1988 WL 340659, at *7.

The FMC's Interpretive Rule on Demurrage and Detention underscores that such charges must serve as financial incentives to promote cargo movement and ensure freight fluidity. *Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29638, 29651–52 (May 18, 2020); *see also TCW, Inc. v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement*, FMC Dkt. No. 1966(I), Doc. No. 1, 1, 22–25 (ALJ Feb. 29, 2021) (citing to the Interpretive Rule for the proposition that the shipping community, including importer, exporter, intermediaries, and truckers, "should not be penalized by demurrage and detention practices when circumstances are such that they cannot retrieve equipment from or

return equipment to marine terminals” ... because under those circumstances the charges cannot serve their incentive function.)

Charges imposed under circumstances that make cargo retrieval impossible, such as systemic issues beyond the control of shippers or truckers, may be deemed unreasonable. *See* 85 Fed. Reg. at 29651–52. The Commission has noted that its reasonableness analysis may include assessing whether truckers were unable to retrieve containers due to congestion, appointment unavailability, or chassis shortages. *See id.* at 29654–55. Specifically, the FMC has recognized that chassis availability is a critical factor in container retrieval and that the assumption that a shipper or trucker can promptly obtain equipment may no longer be valid. *See id.* The Commission has further stated that the lack of chassis availability is an undeniable factor impacting a trucker’s or shipper’s ability to remove containers from ports, and its absence could render demurrage or detention charges unreasonable. *See id.*

In addition to evaluating circumstances affecting cargo retrieval, the FMC examines the policies and procedures of ocean carriers, including their dispute resolution processes and billing practices. *See id.* at 29659–65. Reasonable practices include:

- **Accessible Policies:** Policies should be centralized and user-friendly, rather than scattered or opaque within tariffs.
- **Clear Dispute Resolution Processes:** Effective policies should outline points of contact, timeframes for raising disputes, and the types of information or evidence required to contest charges.
- **Comprehensive Billing:** Bills must contain sufficient information to allow cargo interests to meaningfully contest the charges.

See id.

The efficacy of these practices directly influences the reasonableness of demurrage and detention charges. *See id.* Policies that lack transparency, guidance, or essential information may fall on the unreasonable end of the spectrum. *See id.*

In this proceeding, Respondent disregarded every concern the Commission highlighted when assessing demurrage and detention charges. Respondent failed to address the systemic barriers that made cargo retrieval impossible and neglected the critical factors the FMC uses to determine the reasonableness of such charges. As detailed in the subsections below, Respondent's practices violated the fundamental principles of fairness and reasonableness under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5. In doing so, Respondent ignored the FMC's clear guidance on incentivizing cargo movement, ensuring access to equipment, maintaining transparency in billing, and providing effective dispute resolution processes.

1. *Respondent's charges failed to incentivize cargo movement.*

During 2021 and 2022 (the "Relevant Period"), Respondent knowingly imposed demurrage, detention, per diem, and other accessorial charges despite being fully aware of systemic barriers that made compliance impossible. (*See* CPFF, ¶¶ 42–51.) Once containers carrying Impact Products' and Safety Zone's goods arrived at U.S. ports and were unloaded from Respondent's vessels into Respondent's terminals, container yards, or rail yards, Laufer contracted with drayage companies to handle the pickup, delivery, and return of the containers. (*Id.* ¶¶ 18–21, 23–31.) Laufer and these drayage companies repeatedly informed Respondent of significant operational challenges, including severe chassis shortages and widespread congestion. (*See id.* ¶¶ 42–50.) In multiple emails, they highlighted the acute lack of chassis and explicitly stated that containers would be retrieved as soon as the necessary equipment became available. (*See id.* ¶¶ 42–45.)

Ms. Anki corroborated this knowledge during her deposition. (*Id.* ¶¶ 45–49.) She admitted that Respondent’s employees were informed by truckers of the severe chassis shortages during the Relevant Period. (*Id.* ¶ 46.) She further testified that congestion and equipment shortages were well-known challenges, significantly affecting Respondent’s operations. (*Id.* ¶¶ 46–49.) For example, she acknowledged that:

- Respondent’s vessels were delayed and unable to dock at U.S. ports, causing containers to pile up at terminals and further exacerbating congestion. (*Id.* ¶¶ 48–49.)
- Truckers faced significant delays accessing Respondent’s terminals, often waiting in line for extended periods. (*See id.*)

Despite being fully aware of these extraordinary circumstances, Respondent continued to impose the Charges without making any adjustments to its practices. (*See id.* ¶ 51.)

Notably, Ms. Anki admitted during her deposition that Respondent’s demurrage fees increased during the Relevant Period. (*Id.* ¶ 71.) Expert reports and testimony from both Complainant’s and Respondent’s experts further confirmed that Respondent’s revenue significantly increased during this time, with demurrage and detention charges identified as a direct component of Respondent’s revenue. (*Id.* ¶¶ 83–89.) By imposing these charges, Respondent blatantly disregarded the FMC’s guidance that such fees should incentivize cargo movement. Instead of serving their intended purpose, Respondent’s charges unfairly penalized Laufer, Impact Products, and Safety Zone for delays entirely beyond their control.

This conduct highlights Respondent’s indifference to the systemic challenges faced by its customers and its failure to adopt reasonable practices under the conditions of the Relevant Period. Rather than addressing these obstacles in good faith, Respondent exploited them to generate profit, demonstrating a perverse incentive to prioritize revenue over the principles of fairness and the fluidity of cargo movement.

2. *Respondent's demurrage and detention policies lacked transparency, accessibility, and effective dispute resolution.*

During the Relevant Period, Respondent's dispute resolution processes lacked transparency, guidance, and essential information necessary to ensure the fairness and reasonableness of demurrage, detention, per diem, and other accessorial charges, as required by FMC standards. 46 C.F.R. § 545.5; *See* 85 Fed. Reg. at 29659–65. When questioned about these processes, Ms. Anki, provided vague and incomplete answers. She stated that customers “have the right to dispute” demurrage charges and could do so by contacting their salesperson or customer service, who would then forward the dispute to headquarters for review. (*See id.* ¶ 74–75) However, when asked what criteria Respondent applied when reviewing disputes, Ms. Anki admitted she did not know. (*Id.*) This lack of clarity demonstrates Respondent's failure to implement standardized, transparent procedures for resolving disputes.

The FMC has emphasized that reasonable practices must include clear and accessible dispute resolution policies, with defined points of contact, timeframes for raising disputes, and specific requirements for the evidence or information needed to resolve them. *See* 85 Fed. Reg. at 29659–65. Respondent's policies during the Relevant Period, as described by Ms. Anki, fell far short of this standard. Customers—including Laufer, Impact Products, Safety Zone, and the drayage companies contracted by Laufer—were left without sufficient guidance on how to present disputes effectively or what documentation was required. Instead, Respondent relied on vague assurances that disputes would be “reviewed” at headquarters, without offering defined criteria or meaningful transparency. (CPFF, ¶¶ 74–75.) This approach created unnecessary and systemic obstacles for shippers attempting to resolve unfair charges.

Even Respondent's own expert recognized the deficiencies in Respondent's dispute resolution process. In his report, he acknowledged that “while it's not impossible, negotiating

demurrage charges with Respondent is challenging.” (CPFF, ¶ 76.) This admission highlights the systemic barriers shippers faced when attempting to contest charges, further demonstrating that Respondent’s processes were neither reasonable nor aligned with the FMC’s standards.

By failing to establish transparent and effective dispute resolution practices, Respondent significantly exacerbated the difficulties faced by Laufer, Impact Products, and Safety Zone in contesting charges imposed under circumstances beyond their control. This lack of reasonable practices rendered Respondent’s processes fundamentally unfair and in direct violation of the principles outlined by the FMC.

3. *Respondent’s billing practices were inadequate.*

Respondent’s billing practices failed to meet the FMC’s standards for comprehensive and transparent billing, leaving shippers without the tools necessary to address potentially erroneous or unreasonable charges. *See* 46 C.F.R. § 545.5; 85 Fed. Reg. at 29659–65. The demurrage invoices Respondent produced during discovery exemplify this deficiency. These invoices provided no explanation of the basis for the Charges and omitted critical dispute resolution information, such as instructions on how to challenge the Charges, points of contact, or the documentation required for a dispute. (CPFF, ¶ 72.) The invoices also failed to specify any timelines for disputing the Charges, leaving shippers like Complainant with no clear process or timeframe for seeking resolution. (*Id.*)

By failing to include this essential information, Respondent’s billing practices created significant obstacles for shippers attempting to contest charges, violating the FMC’s requirement that invoices contain sufficient detail to allow cargo interests to meaningfully dispute fees. This lack of transparency and accountability placed an undue burden on Laufer, truckers and shippers like Complainant, who were left to navigate Respondent’s opaque and incomplete billing practices without clear guidance.

The omission of this critical information not only impeded Laufer, the drayage companies it engaged, and Impact Products' and Safety Zone's ability to resolve disputes, but also violated the fundamental principles of fairness and reasonableness mandated by the Shipping Act. Respondent's failure to implement comprehensive and accessible billing practices rendered its demurrage and detention practices unreasonable, further underscoring its disregard for the systemic barriers faced by its customers.

4. *Yard storage charges remain the responsibility of Respondent and do not relieve Respondent of its common carrier obligations.*

Respondent cannot disclaim responsibility for yard storage charges incurred during the transportation of Impact Products' and Safety Zone's cargo, as these charges arose in connection with its common carrier obligations. As a common carrier, Respondent is responsible for ensuring that cargo is made available for pick-up at inland terminals, including rail yards. (CPFF, ¶¶ 18–21, 29 (*Exhibit 4*)); (CX_000016). Shippers like Impact Products and Safety Zone had no direct contractual relationship with the rail yards, leaving Respondent solely accountable for issues stemming from their operations.

During the Relevant Period, yard storage charges were assessed on containers even when systemic issues beyond the control of Complainant, Laufer, and its drayage companies made retrieval impossible. (CPFF, ¶¶ 29–30, 32–41.) During her deposition, Ms. Anki testified that Respondent does not get involved with yard storage charges. (Ex. 2, CX_000018.) While Respondent's corporate representative asserted that Respondent did not profit directly from the yard storage charges alleged in the Verified Amended Complaint, these claims do not absolve Respondent of its responsibilities as a common carrier. (*See id.*)

Respondent was obligated to ensure that cargo was accessible to Complainant and its drayage companies. However, systemic barriers—including severe chassis shortages, congestion,

and rail yard stacking practices—prevented timely pick-up of containers. (CPFF, ¶¶ 29, 32–41.) These barriers rendered the cargo inaccessible and significantly delayed retrieval. Despite being aware of these circumstances, Respondent failed to take reasonable measures to address the delays. (See *id.* 42–51.) Instead, Respondent allowed yard storage charges to accumulate and shifted the financial burden onto Complainant. This practice is both unreasonable and inconsistent with the FMC’s guidance on fairness in demurrage and detention practices.

By failing to ensure that cargo was made available for pick-up, Respondent effectively shifted its common carrier obligations onto Complainant. This conduct demonstrates a disregard for Respondent’s responsibilities as a carrier to manage its containers and ensure the fluidity of cargo movement. The imposition of yard storage charges under these circumstances is an unreasonable practice under 46 U.S.C. § 41102(c) and the FMC’s Interpretive Rule.

v. Respondent failed to comply with Ocean Shipping Reform Act of 2022 (“OSRA”).

Respondent’s violations are more egregious when considered under OSRA, whose changes the Commission described as follows:

OSRA addressed the balance between common carriers and the shipping public in dealing with complaints about demurrage and detention charges. OSRA § 10, 46 U.S.C. § 41310. Specifically, pursuant to OSRA, common carriers “bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant to [the demurrage and detention Interpretive Rule] or successor regulations.” OSRA § 10, 46 U.S.C. § 41310(b)(2). This provision shifts the burden of proof regarding the reasonableness of detention or demurrage charges from the invoiced party to the common carrier. Second, OSRA requires common carriers to provide certain information on invoices for demurrage and detention charges to demonstrate that the charges comply with the demurrage and detention [I]nterpretive [R]ule. OSRA § 7, 46 U.S.C. § 41104(a)(15) and (d)(2). Specifically, common carriers must include a statement that the charges are consistent with the Commission’s [D&D] rules. 46 U.S.C. § 41104(d)(2)(L). This provision requires common carriers to ensure invoiced demurrage or detention charges are consistent with the Commission’s rules, especially the [demurrage and detention Interpretive Rule].

Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. - Possible Violations of 46 U.S.C. § 41102(c), FMC Dkt. No. 21-16, 2022 WL 17830693, at *4-5 (FMC Dec. 15, 2022) (footnotes omitted).

vi. Respondent's practice or regulation is the proximate cause of the loss.

Respondent's unreasonable practices and failure to meet its obligations under 46 U.S.C. § 41102(c) directly caused significant financial and operational harm to Impact Products and Safety Zone.¹ Under 46 U.S.C. § 41305(b), a complainant is entitled to reparations for "actual injury caused by a violation of this part." 46 U.S.C. § 41305(b); *see also, Way Interglobal Network, LLC v. Shenzhen Uniflex SCM Ltd.*, FMC Docket No. 22-28, 2023 WL 130654 at *4 (FMC Jan. 4, 2023) (denying motion to dismiss because allegations of unpaid freight, invoiced demurrage, pending demurrage for freight not yet invoiced, internal time, and financial consequences from adverse impacts to supplier relationships damage is plausible so as to establish standing, but not proven).

To meet this burden, "a party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with 'reasonable certainty.'" *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 29 S.R.R. 119, 2001 WL 865708 at *80 n.75, (FMC 2001); *see also William R. Adair v. Penn-Nordic Lines, Inc.*, Docket No. 1695(F), 26 S.R.R. 11, 1991 WL 383091 at *23, (ALJ Sept.24, 1991) ("proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages."). The Commission had held that payment of demurrage and detention charges is sufficient to meet this requirement. *Hapag-Lloyd, A.G. and*

¹ As explained in Section III.A., *supra*, Complainant TZ SSE Buyer acquired all assets, rights, and causes of action from Impact Products and Safety Zone through a Chapter 11 bankruptcy sale. These assets include the claims brought against Respondent, which Laufer formally assigned to Impact Products and Safety Zone prior to the bankruptcy sale. As a result, TZ SSE Buyer now stands in the position of the original complainants in this proceeding.

Hapag-Lloyd (America) LLC-possible Violations of 46 U.S.C. § 41102(c), 2022 WL 1239377, at * 34 (ALJ, April 22, 2022); *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc. et.al.*, Docket No. 1987(I), at 14 (ALJ July 17, 2023) (Claimant “demonstrates that it incurred damages in the amount of \$20,970 (FF 36), the amount it seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents’ conduct.”).

Here, during the Relevant Period, Respondent imposed excessive demurrage, detention, per diem, and yard storage charges despite systemic barriers—such as congestion and equipment shortages—that made cargo retrieval impossible. These practices resulted in \$1,304,526.00 in charges across 2,149 containers shipped by Complainant through Laufer, including demurrage charges on 309 containers, detention charges on one container, per diem charges on 39 containers, and yard storage charges on 358 containers. (CPFF, ¶¶ 18–21, 23–31.) By failing to adopt reasonable practices consistent with FMC guidance, Respondent’s imposition of these charges was both excessive and unjust.

Complainant meticulously documented the financial harm caused by these charges in a detailed damages spreadsheet, which was prepared using Laufer’s invoices and provided to Respondent during discovery. (*Id.* ¶¶ 77–82.) This spreadsheet included critical details such as the type of charge, container numbers, master and house bill of lading numbers, and the ocean carrier responsible for each shipment. (*Id.* ¶ 78 (*Exhibit 4*)). Mr. Larry Hallett, former Director of Global Logistics for Supply Source Enterprises, the parent company of Impact Products and Safety Zone, thoroughly reviewed all invoices provided by Laufer and confirmed the accuracy of the damages listed in the spreadsheet. (*Id.* ¶¶ 77–82.) His verification ensured that the spreadsheet is a reliable and comprehensive summary of the financial impact caused by Respondent’s practices.

In addition to the financial burden, Respondent's practices caused significant operational harm to Impact Products and Safety Zone. Delays stemming from systemic issues, including chassis shortages, congestion, and rail yard stacking practices, disrupted Complainant's supply chains and impaired their ability to meet business obligations. (*Id.* ¶¶ 80–81.) These disruptions, combined with the unreasonable charges imposed by Respondent, exacerbated financial strain and ultimately contributed to Impact Products' and Safety Zone's bankruptcy filings. (*Id.*)

Respondent maintained full control over the assessment of these charges, which underscores its role in the losses suffered by Impact Products and Safety Zone. Laufer, acting as a logistics provider, invoiced Complainant based solely on Respondent's charges. (*Id.* ¶¶ 23–31.) Complainant paid Laufer the full \$1,304,526.00, which Laufer then remitted to Respondent. (*Id.* ¶¶ 29–30.) As a result, Respondent's practices directly caused these financial losses, leaving Impact Products and Safety Zone without the ability to contest systemic delays or the charges imposed.

Respondent's liability is further confirmed by the assignment of claims. On April 4, 2024, Laufer formally assigned all claims related to these charges to Impact Products and Safety Zone, providing them standing to bring this action. (*Id.* ¶ 31.) Additionally, TZ SSE Buyer, LLC, the current Complainant, acquired the assets, rights, and causes of action of Impact Products and Safety Zone through a Chapter 11 bankruptcy sale. (*Id.* ¶ 8–12.) Through this acquisition, TZ SSE Buyer assumed standing to pursue these claims, ensuring continuity in addressing the harm caused by Respondent's unreasonable practices.

By imposing charges under circumstances where compliance was impossible and failing to adopt practices aligned with FMC guidance, Respondent directly caused the financial and operational harm suffered by Impact Products and Safety Zone. These losses were a foreseeable

and proximate result of Respondent's failure to fulfill its responsibilities as a common carrier, further underscoring the unreasonableness of its practices.

B. Respondent's refusal to deal was unreasonable under 46 U.S.C. 41104 (a)(10).

Under 46 U.S.C. § 41104(a)(10), a common carrier is prohibited from unreasonably refusing to deal or negotiate. To establish a violation of this provision, Complainant must demonstrate three elements: (1) that Respondent is a common carrier; (2) that Respondent refused to deal or negotiate; and (3) that such refusal was unreasonable. *See OJ Commerce*, 2023 WL 3969857, at *22. The Commission has found that a common carrier should "refrain from 'shutting out' any person for reasons having no relation to legitimate transportation-related factors." *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002), *aff'd sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003); *OJ Commerce*, 2023 WL 3969857, at *22. As demonstrated below, Respondent satisfies each of these elements.

i. Respondent is a common carrier.

As established in Sections III.A and IV.A(i), *supra*, Respondent is a common carrier and vessel-operating common carrier as defined under 46 U.S.C. § 40102(7) and (18), and is therefore subject to the obligations imposed by the Shipping Act. Notably, Respondent does not contest its status as a common carrier or its regulation by the FMC. (*See* CPFF ¶ 16.)

ii. Respondent refused to deal or negotiate.

During the Relevant Period, Respondent's conduct amounted to a refusal to deal or negotiate with Complainant, its predecessors (Impact Products and Safety Zone), and their intermediary, Laufer. Despite repeated efforts by Laufer to address systemic issues—including severe congestion and equipment shortages—Respondent failed to provide substantive or meaningful responses. (*See* CPFF ¶¶ 42–51.) Laufer and its drayage companies repeatedly

communicated detailed updates to Respondent, explaining that systemic barriers, such as chassis shortages and congestion, made container retrieval impossible. (*Id.*) Rather than addressing these legitimate concerns or offering any accommodations, Respondent issued cursory “reminder” emails instructing Laufer to retrieve the containers and pay all outstanding demurrage, detention, per diem, or yard storage charges, thereby shutting down any meaningful opportunity for negotiation. (*See id.* ¶¶ 42–44)

Respondent also ignored Laufer’s inquiries regarding adjustments to the charges or extensions of free time to account for the extraordinary circumstances. By failing to engage, Respondent demonstrated indifference to legitimate transportation-related factors and disregarded its obligation to give good-faith consideration to efforts at negotiation. The FMC found that refusals to engage with good-faith attempts to negotiate constitute unreasonable refusals to deal. *See Canaveral Port Authority - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, Docket No. 02-02, 29 S.R.R. 1436, 2003 WL 723336, at *16 (FMC Feb. 24, 2003).

Further compounding this refusal, Respondent failed to produce relevant communications with Laufer, the drayage companies contracted by Laufer, and Impact Products/Safety Zone regarding the disputed Charges, despite multiple requests from Complainant during discovery. (*See CPFF* ¶¶ 52–53, 56–57.) Respondent claimed it could not locate any such communications but provided no adequate explanation for this failure. (*See id.*) This omission is particularly significant given that Complainant produced email records and other communications showing that exchanges between Respondent, Laufer, Impact Products, Safety Zone, and their drayage companies did, in fact, exist. (*See CPFF* ¶¶ 42–51.) Respondent’s failure to provide these critical

communications not only impeded efforts to resolve the disputes but also underscores its broader refusal to engage in meaningful negotiations.

Respondent's unwillingness to address valid transportation-related challenges, consider accommodations, or engage with good-faith negotiation efforts demonstrates a clear and unreasonable refusal to deal under 46 U.S.C. § 41104(a)(10).

iii. Respondent's refusal was unreasonable.

Under the FMC's established precedent, a refusal to deal is unreasonable if it lacks connection to legitimate business decisions or transportation-related factors. *See OJ Commerce*, 2023 WL 3969857 at *28–29. Respondent's refusal to engage in meaningful discussions with Laufer and its drayage providers fails this standard for several reasons:

Lack of Consideration for Transportation-Related Factors: Respondent ignored clear and repeated evidence that systemic barriers—such as chassis shortages, port congestion, and rail yard stacking practices—prevented timely container retrieval. (CPFF, ¶¶ 32–41.) Respondent was fully aware of these issues, as shown by multiple communications it received from Laufer, and the drayage companies used by Laufer, detailing the severe challenges faced in retrieving containers. (*Id.* ¶¶ 42–51.) These systemic barriers were entirely beyond Complainant's control and directly relevant to the charges Respondent imposed. (*Id.* ¶¶ 32–51.) Despite this knowledge, Respondent refused to address legitimate transportation-related concerns or offer any accommodations. (*Id.* ¶¶ 42–51.) Instead, it continued to impose mounting charges, demonstrating a blatant disregard for the principles of fairness and reasonableness required by the Shipping Act. (*Id.* ¶¶ 42–51.) Respondent's inaction not only ignored systemic barriers but also exacerbated the financial and operational harm suffered by Impact Products and Safety Zone.

Failure to Provide Good-Faith Consideration: Respondent's failure to engage in substantive negotiations with Laufer reflects a lack of good-faith consideration. For example,

despite knowing the systemic challenges affecting container retrieval, Respondent did not offer to waive or reduce the charges or extend free time. (*Id.* ¶¶ 51, 77–82.) Instead, it maintained its unreasonable demands for payment. (*Id.*) By creating unnecessary barriers to resolving disputes, Respondent demonstrated an indifference to its obligations under the Shipping Act.

Economic Harm to Complainant: Respondent’s unreasonable practices directly caused financial harm to Impact Products and Safety Zone. (*Id.* ¶¶ 77–82.) These practices forced the former complainants, Impact Products and Safety Zone, to pay \$1,304,526.00 in demurrage, detention, per diem, and yard storage charges. (*Id.*) This financial burden, coupled with operational disruptions caused by systemic delays, severely strained Impact Products and Safety Zone, contributing to their eventual bankruptcy.

Failure to Align with FMC Guidance: The FMC has emphasized that carriers must provide actual consideration to efforts at negotiation and avoid shutting out parties for non-transportation-related reasons. Respondent’s refusal to engage meaningfully and its continued imposition of unreasonable charges fall squarely within conduct deemed unreasonable by the FMC. *See OJ Commerce*, 2023 WL 3969857, at 28–29.

Respondent’s refusal to deal or negotiate during the Relevant Period was both unreasonable and inconsistent with the requirements of 46 U.S.C. § 41104(a)(10). By ignoring legitimate transportation-related factors, failing to provide good-faith consideration, and imposing undue financial burdens on Complainant, Respondent violated the fundamental principles of fairness and reasonableness underpinning the Shipping Act. Complainant respectfully requests that the FMC find Respondent in violation of 46 U.S.C. § 41104(a)(10) and award appropriate reparations and relief.

V. Conclusion

Respondent Yang Ming Marine Transport Corporation's practices during the Relevant Period reflect a blatant disregard for its obligations under the Shipping Act. By imposing demurrage, detention, per diem, and yard storage charges under circumstances where compliance was impossible, Respondent failed to align its practices with the fairness and reasonableness standards set forth by the FMC. Its refusal to negotiate or provide accommodations in light of systemic barriers further underscores its unreasonable behavior, causing \$1,304,526.00 in financial harm and significant operational disruption to the former complainants, Impact Products and Safety Zone.

The evidence presented in this proceeding demonstrates that Respondent's practices were not tailored to incentivize cargo movement, lacked transparency, and failed to consider the extraordinary challenges faced by shippers during the COVID-19 pandemic. These practices were a direct and proximate cause of the financial and operational harm suffered by Impact Products and Safety Zone, exacerbating the systemic challenges of the time.

For these reasons, Complainant, as the successor in interest to Impact Products and Safety Zone's claims against Respondent in this proceeding, respectfully requests that the FMC find Respondent in violation of 46 U.S.C. §§ 41102(c) and 41104(a)(10). Complainant further seeks reparations for Respondent's unlawful conduct in the amount of \$1,304,526.00 pursuant to 46 U.S.C. § 41305, with interest pursuant to 46 U.S.C. § 41305(a). Complainant also seeks an award of reasonable attorneys' fees as "the prevailing party" under 46 U.S.C. § 41305(e) and any additional relief that the Federal Maritime Commission deems just and proper.

This case underscores the critical importance of strict adherence to the principles of fairness and reasonableness enshrined in the Shipping Act, not only to hold ocean carriers accountable for exploitative practices but also to safeguard the integrity of the supply chain and protect shippers,

intermediaries and truckers from unjust financial and operational burdens, particularly during times of global crisis.

Dated: December 9, 2024

Respectfully submitted,

CLARK HILL PLC

/s/ Michell Pacheco

Timothy R. Herman

R. Kevin Williams

Michell Pacheco Soto

therman@clarkhill.com

kwilliams@clarkhill.com

mpacheco@clarkhill.com

130 E. Randolph Street, Suite 3900

Chicago, IL 60601

Counsel for Complainant TZ SSE Buyer, LLC

CERTIFICATE OF SERVICE

I certify that on December 9, 2024, a true and correct copy of the foregoing **Complainant's Opening Brief** was served by email on all counsel of record in accordance with 46 CFR Part 502.

Attorneys for Respondent:

Edward A. Keane
Garth S. Wolfson
gwolfson@mahoneykeane.com
ekeane@mahoneykeane.com
Mahoney & Keane, LLP
40 Worth St. Suite 602
New York, New York 10013

/s/ Michell Pacheco
Timothy R. Herman
R. Kevin Williams
Michell Pacheco Soto
therman@clarkhill.com
kwilliams@clarkhill.com
mpacheco@clarkhill.com
130 E. Randolph Street, Suite 3900
Chicago, IL 60601
Counsel for Complainant TZ SSE Buyer, LLC